

This is not to say that all these investments will be included in your portfolio or that other investments that are not on the list should be excluded. It is simply a reference point to work from.

Potential asset classes for inclusion in your portfolio should have three important characteristics:

1. The asset class is fundamentally different from other asset classes in a portfolio.
2. Each asset class is expected to earn a return higher than the inflation rate over time.
3. The asset class must be accessible with a low-cost diversified fund or product.

Fundamentally Different

Asset allocation is risk diversification. In order to have risk diversification, each investment in a portfolio must be fundamentally different from other investments. This provides the portfolio with an assortment of unique risk characteristics.

The first criterion for selection is that an investment under consideration be quantifiably different from all other investments. Sometimes the difference between investments is obvious, and sometimes it requires significant analysis. It is easy to isolate fundamental differences between major asset classes. Stocks and bonds are uniquely different. They have different obligations from the issuer, have different income streams, and are even taxed differently.

Owning stocks means that you own a part of a company and are entitled to your fair share of the profits through dividends and share price appreciation. Consequently, equity investors have earnings risk. The value of the company stock falls if there are no earnings. Stock investors are also the last to receive anything in the event of corporate liquidation.

Bond investors lend money to a company or other entity that is obligated to make regular interest payments, plus pay back the loan on time. Interest payments must occur whether the company has profits or not. An issuer's obligation to bondholders is spelled out to investors in an agreement called a bond covenant. The biggest risk a bondholder faces is